

THE UNIVERSITY OF TEXAS AT DALLAS

ANNUAL FINANCIAL REPORT

UNAUDITED

FISCAL YEAR ENDED AUGUST 31, 2019



The University of Texas at Arlington ♦ The University of Texas at Austin ♦ The University of Texas at Brownsville ♦ The University of Texas at Dallas ♦ The University of Texas at El Paso ♦ The University of Texas - Pan American ♦ The University of Texas of the Permian Basin ♦ The University of Texas at San Antonio ♦ The University of Texas at Tyler ♦ The University of Texas Southwestern Medical Center at Dallas ♦ The University of Texas Medical Branch at Galveston ♦ The University of Texas Health Science Center at Houston ♦ The University of Texas Health Science Center at San Antonio ♦ The University of Texas M. D. Anderson Cancer Center ♦ The University of Texas Health Science Center at Tyler ♦ The University of Texas System Administration

THE UNIVERSITY OF TEXAS DALLAS
FINANCIAL STATEMENTS

Presented herein are the financial statements for The University of Texas Dallas for the year ended August 31, 2019. These Statements have been prepared in compliance with applicable State statutes, Governmental Accounting Standards Board pronouncements, and the Texas Comptroller of Public Accounts' Annual Financial Reporting Requirements.

This "detailed internal report" supplements the consolidated published Annual Financial Report of The University of Texas System and is intended to be for limited distribution primarily to financial and academic officers of the University who need access to the details included herein. It also provides an historical record of transactions relating to this particular institution.

The Annual Financial Report for public distribution for The University of Texas System includes primary statements on a consolidated System-wide basis, including footnotes and Managements' Discussion and Analysis.

THE UNIVERSITY OF TEXAS SYSTEM
BOARD OF REGENTS
As of August 31, 2019

Officers

Kevin P. Eltife, Chairman
Janiece Longoria, Vice Chairman
James Conrad “Rad” Weaver, Vice Chairman
Francie A. Frederick, General Counsel to the Board of Regents

Members

*Terms scheduled to expire February 1, 2021**

David J. Beck	Houston
R. Steven “Steve” Hicks	Austin
Nolan E. Perez	Harlingen

*Terms scheduled to expire February 1, 2023**

Kevin P. Eltife	Tyler
Janiece Longoria	Houston
James Conrad “Rad” Weaver	San Antonio

*Terms scheduled to expire February 1, 2025**

Christina Melton Crain	Dallas
Jodie Lee Jiles	Houston
Kelcy L. Warren	Dallas

*Term scheduled to expire May 31, 2020**

Daniel R. Dominguez (Student Regent)	El Paso
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*Each Regent’s term expires when a successor has been appointed, qualified, and taken the oath of office.
The Student Regent serves a one-year term.

THE UNIVERSITY OF TEXAS SYSTEM
SENIOR ADMINISTRATIVE OFFICIALS
As of August 31, 2019

James B. Milliken, Chancellor

Scott C. Kelley, Executive Vice Chancellor for Business Affairs

Steven W. Leslie, Executive Vice Chancellor for Academic Affairs

Amy Shaw Thomas, Executive Vice Chancellor for Health Affairs, *ad interim*

Stephanie A. Bond Huie, Vice Chancellor for Institutional Research and Analysis

David L. Lakey, Vice Chancellor for Health Affairs and Chief Medical Officer

Stacey Napier, Vice Chancellor for Governmental Relations

Randa S. Safady, Vice Chancellor for External Relations, Communications, and Advancement Services

Daniel H. Sharphorn, Vice Chancellor and General Counsel

Thomas Britton “Britt” Harris IV, President, CEO and Chief Investment Officer–UTIMCO

THE UNIVERSITY OF TEXAS AT DALLAS
PRINCIPAL ADMINISTRATIVE OFFICERS
As of August 31, 2019

Richard C. Benson	President
Rafael Martin	Executive Vice President
Inga H. Musselman	Vice President for Academic Affairs and Provost
Frank Feagans	Vice President of Information Technology
Joseph J. Pancrazio	Vice President for Research
Calvin D. Jamison	Vice President for Facilities and Economic Development
Terry A. Pankratz	Vice President for Budget and Finance
Gene Fitch	Vice President for Student Affairs
Amanda O. Rockow	Vice President for Public Affairs
John Walls	Vice President for Communications
George Fair	Vice President for Diversity and Community Engagement
Kyle Edgington	Vice President for Development and Alumni Relations

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The University of Texas at Dallas
Exhibit A Statement of Net Position
As of August 31, 2019

	Current YearTotals	Prior YearTotals
ASSETS AND DEFERRED OUTFLOWS		
Current Assets:		
Cash & Cash Equivalents	110,825,257.21	70,511,561.32
Restricted Cash & Cash Equivalents	16,522,854.56	(3,249,446.44)
Balance in State Appropriations	9,075,617.16	7,329,140.23
Accounts Receivable, Net:		
Federal (allow. \$0.00 in 2019 & \$0.00 in 2018)	11,255,098.18	18,084,569.84
Other Intergov. (allow. \$0.00 in 2019 & \$0.00 in 2018)	448,877.56	462,533.37
Student (allow. \$2,521,425.82 in 2019 & \$2,555,079.49 in 2018)	34,483,960.81	34,569,820.64
Interest and Dividend Receivables	655,365.37	649,565.57
Contributions (allow. \$502,374.05 in 2019 & \$573,450.62 in 2018)	9,545,107.03	10,895,561.86
Other (allow. \$1,536,530.43 in 2019 & \$430,990.55 in 2018)	7,040,152.19	7,748,447.81
Due From System Administration	14,037,495.59	23,361,906.89
Due From Other Institutions	409,656.02	437,425.05
Due From Other Agencies	9,410,401.73	8,157,016.56
Inventories	416,135.24	232,719.66
Loans & Contracts (allow. \$135,689.69 in 2019 & \$195,209.54 in 2018)	7,549,683.29	10,096,328.10
Other Current Assets	7,972,256.21	8,749,099.87
Total Current Assets	<u>239,647,918.15</u>	<u>198,036,250.33</u>
Noncurrent Assets:		
Restricted Investments	48,506,816.79	35,989,937.08
Loans & Contracts (allow. \$675,377.01 in 2019 & \$379,782.70 in 2018)	729,784.40	1,266,026.86
Funds Held by System Administration (Restricted)	505,100,198.34	531,369,496.92
Contributions Rec. (allow. \$16,941.44 in 2019 & \$33,222.85 in 2018)	321,887.32	631,234.14
Unrestricted Investments	200,340,096.56	215,230,569.77
Funds Held by System Administration (Unrestricted)	53,366,120.45	
Other Noncurrent Assets	2.00	2.00
Gross Capital/Intangible Assets	1,855,638,688.79	1,738,877,963.19
Accumulated Depreciation/Amortization	<u>(709,237,704.14)</u>	<u>(631,215,593.49)</u>
Total Noncurrent Assets	<u>1,954,765,890.51</u>	<u>1,892,149,636.47</u>
Total Assets	<u>2,194,413,808.66</u>	<u>2,090,185,886.80</u>
Total Deferred Outflows of Resources		<u>20,546.25</u>
Total Assets and Deferred Outflows	<u>2,194,413,808.66</u>	<u>2,090,206,433.05</u>
LIABILITIES AND DEFERRED INFLOWS		
Current Liabilities:		
Accounts Payable and Accrued Liabilities	16,187,640.74	18,674,876.12
Salaries Payable	29,587,594.66	28,718,010.98
Due To System Administration	3,749,278.85	3,988,387.79
Due To Other Institutions	155,909.14	142,449.26
Due To Other State Agencies		28,652.98
Unearned Revenue	159,728,155.83	148,392,877.89
Employees' Compensable Leave - Current Portion	6,058,404.73	6,041,119.46
Notes, Loans, and Leases Payable	79,185.26	143,749.38
Assets Held for Others	181,035.23	445,704.84
Other Current Liabilities	330,657.26	112,258.50
Total Current Liabilities	<u>216,057,861.70</u>	<u>206,688,087.20</u>
Noncurrent Liabilities:		
Employees' Compensable Leave	4,396,980.52	4,380,529.72
Notes, Loans, and Leases Payable		40,629.46
Asset Retirement Obligation	41,092.50	41,092.50
Other Noncurrent Liabilities	483,914.40	693,582.50
Total Noncurrent Liabilities	<u>4,921,987.42</u>	<u>5,155,834.18</u>
Total Liabilities	<u>220,979,849.12</u>	<u>211,843,921.38</u>
Total Liabilities and Deferred Inflows	<u>220,979,849.12</u>	<u>211,843,921.38</u>
NET POSITION		
Net Investment in Capital Assets	1,146,321,799.39	1,107,477,990.86
Restricted for:		
Nonexpendable		
Permanent Health and True Endowments	283,644,782.71	275,963,582.15
Expendable		
Capital Projects	38,856,611.49	47,293,328.80
Funds Functioning as Endowment (Restricted)	45,918,962.48	38,863,408.60
Other Expendable	282,004,319.55	246,500,825.20
Unrestricted	176,687,483.92	162,263,376.06
Total Net Position	<u>1,973,433,959.54</u>	<u>1,878,362,511.67</u>

The University of Texas at Dallas
Exhibit B Statement of Revenues, Expenses, and Changes in Net Position
For the Year Ended August 31, 2019

	Current YearTotals	Prior YearTotals
Operating Revenues:		
Student Tuition and Fees	415,793,803.81	423,588,621.04
Discounts and Allowances	(122,517,998.00)	(101,644,269.00)
Federal Sponsored Programs	49,202,229.37	40,388,585.28
Federal Sponsored Programs Pass-Through from State Agencies	1,703,616.19	2,048,277.40
State Sponsored Programs Pass-Through from State Agencies	15,245,698.34	11,865,602.82
Local Sponsored Programs	2,357.24	50,753.10
Private Sponsored Programs	11,171,811.31	11,779,507.08
Sales and Services of Educational Activities	38,566,025.18	19,872,533.66
Auxiliary Enterprises	62,449,552.60	35,320,539.06
Other Operating Revenues	5,728,442.84	5,927,209.17
Total Operating Revenues	477,345,538.88	449,197,359.61
Operating Expenses:		
Instruction	198,889,758.09	197,171,847.70
Research	99,779,383.33	94,549,599.04
Public Service	13,600,096.60	12,726,440.85
Academic Support	63,485,370.56	64,232,144.98
Student Services	19,146,219.64	19,353,129.57
Institutional Support	48,073,537.41	45,008,992.23
Operations and Maintenance of Plant	45,690,129.82	37,925,126.63
Scholarships and Fellowships	42,531,644.06	43,905,800.84
Auxiliary Enterprises	60,918,531.69	50,600,216.64
Depreciation and Amortization	82,144,698.75	80,250,469.37
Total Operating Expenses	674,259,369.95	645,723,767.85
Operating Income (Loss)	(196,913,831.07)	(196,526,408.24)
Nonoperating Revenues (Expenses):		
State Appropriations	108,550,781.41	108,844,759.57
Federal Nonexchange Sponsored Programs	31,584,416.00	28,606,286.00
Federal Nonexchange Pass-Through		150,000.00
State Nonexchange Pass-Through		
Gift Contributions for Operations	10,925,414.21	14,891,971.61
Investment Income	37,192,760.77	32,448,011.51
Net Increase (Decrease) in Fair Value of Investments	20,525,867.23	34,225,009.79
Interest Expense on Capital Asset Financings	(4,999.41)	
Gain (Loss) on Sale of Capital Assets	(489,253.35)	(483,814.09)
Other Nonoperating Revenues	256,635.90	3,582,958.02
Other Nonoperating (Expenses)		(805,841.00)
Net Nonoperating Revenues (Expenses)	210,654,067.73	221,459,341.41
Income/(Loss) Before Other Revenue, Expenses, Gains/(Losses), and Transfers	13,740,236.66	24,932,933.17
Gifts and Sponsored Programs for Capital Acquisitions	64,248,074.98	28,033,785.10
Additions to Permanent Endowments	6,204,569.52	8,946,150.50
Reclass from/(to) Other Institutions	54,350,938.64	(7,860,710.12)
Capital Asset Purchases		
Transactions Between Funds		
Transfers Between Institutions & System, Debt Service - Mandatory	(62,557,310.52)	(63,869,459.91)
Transfers Between Institutions & System Admin. - Non mandatory	10,968,628.67	111,268,077.20
Transfers From Other State Agencies	8,328,168.09	8,032,969.84
Transfers to Other State Agencies	(211,249.02)	(4,350.47)
Legislative Appropriations Lapsed	(609.15)	(299.50)
Transfers Between Funds		
Change in Net Position	95,071,447.87	109,479,095.81
Beginning Net Position	1,878,362,511.67	1,768,883,415.86
Ending Net Position	1,973,433,959.54	1,878,362,511.67

The University of Texas at Dallas
Exhibit C - Statement of Cash Flows
For the Year Ended August 31, 2019

	Current Year Totals	Prior Year Totals
Cash Flows from Operating Activities:		
Proceeds from Tuition and Fees	296,094,242.65	324,647,969.26
Proceeds from Sponsored Programs	75,154,733.29	48,023,354.08
Proceeds from Auxiliaries	71,110,568.93	51,383,347.30
Proceeds from Other Revenues	43,951,873.70	26,969,301.12
Payments to Suppliers	(187,817,472.76)	(176,763,258.28)
Payments to Employees	(400,074,820.64)	(388,937,003.68)
Payments for Loans Provided	(18,691,973.05)	(28,523,550.79)
Proceeds from Loan Programs	20,246,629.31	29,731,984.24
Net Cash Provided (Used) by Operating Activities	(100,026,218.57)	(113,467,856.75)
Cash Flows from Noncapital Financing Activities:		
Proceeds from State Appropriations	106,803,695.33	107,074,376.27
Proceeds from Operating Gifts	12,585,215.86	11,723,108.85
Proceeds from Private Gifts for Endowment Purposes	6,204,569.52	8,946,150.50
Proceeds from Other Noncapital Financing Activities	-	3,582,958.02
Receipts for Transfers from System or Other Agencies	14,483,935.37	16,798,713.88
Payments for Transfers to System or Other Agencies	(401,684.10)	(604,350.47)
Payments for Other Uses	-	(805,841.00)
Proceeds from Nonexchange Sponsored Programs	38,763,906.00	28,756,286.00
Net Cash Provided by Noncapital Financing Activities	178,439,637.98	175,471,402.05
Cash Flows from Capital and Related Financing Activities:		
Nonmandatory Capital Related Transfers	71,140,988.47	100,157,474.20
Proceeds from Capital Appropriations, Grants, and Gifts	22,860,518.72	28,033,785.10
Proceeds from Sale of Capital Assets	35,488.86	17,643.57
Payments for Additions to Capital Assets	(82,498,258.33)	(120,181,923.37)
Payments of Principal on Capital Related Debt	(105,193.58)	(42,814.65)
Mandatory Transfers to System for Capital Related Debt	(62,557,310.52)	(63,869,459.91)
Payments of Interest on Capital Related Debt	(4,999.41)	-
Net Cash Provided (Used) by Capital and Related Financing Activities	(51,128,765.79)	(55,885,295.06)
Cash Flows from Investing Activities		
Proceeds from Sales of Investments Invested by System	22,409,621.02	-
Proceeds from Interest and Investment Income	3,143,625.27	10,296.63
Proceeds from Interest and Investment Income Invested by System	31,157,697.17	32,223,164.91
Payments to Acquire Investments	(23,909,600.19)	-
Payments to Acquire Investments Invested by System	-	(76,336,189.64)
Net Cash Provided (Used) by Investing Activities	32,801,343.27	(44,102,728.10)
Net Increase (Decrease) in Cash	60,085,996.89	(37,984,477.86)
Cash and Cash Equivalents (Beginning of the Year)	67,262,114.88	105,246,592.74
Cash and Cash Equivalents (End of the Year)	127,348,111.77	67,262,114.88
Reconciliation of Net Operating Revenues (Expenses) to Net Cash Provided (Used) by Operating Activities		
Operating Income (Loss)	(196,913,831.07)	(196,526,408.24)
Adjustments to Reconcile Operating Results to Net Cash:		
Depreciation and Amortization Expense	82,144,698.75	80,250,469.37
Bad Debt Expense	1,528,231.01	-
Changes in Assets and Liabilities:		
Accounts Receivable	(2,098,266.20)	(7,371,298.68)
Inventories	(183,415.58)	46,656.80
Loans and Contracts	1,554,656.26	1,208,433.45
Other Current and Noncurrent Assets	776,843.66	1,847,514.77
Accounts Payable	2,270,352.23	(2,746,049.50)
Due to System	(239,108.94)	165,326.40
Unearned Revenue	11,335,277.94	8,517,322.71
Assets Held for Others	(264,669.61)	(149,034.40)
Employees' Compensable Leave	33,736.07	462,823.32
Asset Retirement Obligations	20,546.25	20,546.25
Other Current and Noncurrent Liabilities	8,730.66	805,841.00
Total Adjustments	96,887,612.50	83,058,551.49
Net Cash Provided (Used) by Operating Activities	(100,026,218.57)	(113,467,856.75)
Non Cash Transactions:		
Net Increase (Decrease) in Fair Value of Investments	22,638,312.20	34,225,009.79
Donated Capital Assets	41,387,556.26	-
Capital Assets Acquired Under Capital Lease Purchases or Direct Borrowings	-	121,999.91
Miscellaneous Noncash Transactions	(394,257.98)	(483,814.09)